

provision to apply only to federal court proceedings.”.) *Coinbase* dealt with federal law and the holding would appear to apply only to federal courts.

Defendants also argue in the Reply that the holding in *Volt* has been limited by the subsequent decisions in *Mastrobuono v. Shearson Lehman Hutton*, 514 U.S. 52 (1995) and *Preston v. Ferrer*, 552 U.S. 346 (2008). Those cases are distinguishable as neither involved a provision, such as the one in the instant matter, that specifically states that any *arbitration proceeding* shall be determined pursuant to state law. Moreover, neither case dealt with a stay pending appeal of denial of a motion to compel arbitration. Additionally, the cases left intact the holding in *Volt* that when “the parties have agreed to abide by state rules of arbitration, enforcing those rules according to the terms of the agreement is fully consistent with the goals of the FAA.” (*Volt* at 479.)

Because the agreement here shows the parties agreed to apply California arbitration rules, the FAA’s procedural rules do not apply. The Court thus need not reach the issue of whether the FAA preempts section 1294(a).

The Court also finds a discretionary stay is not warranted. Code of Civil Procedure section 1294 gives courts the discretion to grant or deny a stay pending appeal. SB 365 was designed to “promote judicial efficiency by reducing the number of meritless appeals that are filed only to delay litigation.” (See California Bill Analysis, S.B. 365 Sen., 7/12/2023.) However, the legislature also recognized that if a judge denies a stay request, the parties will continue litigating the case and, for cases that are later ordered into arbitration by the appellate court, this “will result in courts and parties expending time and resources that have no impact on the final outcome of the case, straining already limited court resources.” (*Ibid.*)

“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency.” (*Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489.) “[W]hen deciding whether to grant or deny a stay, the court, in its sound discretion, must assess and balance the nature and substantiality of the injustices claimed on either side.” (*Alpha Media Resort Inv. Cases* (2019) 39 Cal.App.5th 1121, 1134 n.10, internal citations and quotations omitted.)

The Court finds the balance of hardships weighs in Plaintiffs’ favor. The potential prejudice to Plaintiffs due to further delay is apparent, as this action has already been pending for almost a year. Defendants failed to identify specific circumstances in this case that would justify a discretionary stay of this action. Although Defendants complain that, without a stay, they will be burdened by having to litigate this action and they will be deprived of the benefit of arbitration, this can be said of any order denying arbitration. In contrast, a stay would unfairly prejudice Plaintiffs’ right to promptly litigate their claims. Based on the foregoing, Defendants have failed to show a discretionary stay is warranted in this matter.

		Accordingly, the motion is DENIED .
		Counsel for Plaintiffs is ordered to give notice of this ruling.
8	Deebes vs. JD Property Management, Inc.	Defendants J.D. Property Management, Inc., and Pioneer Equities Corporation ("Defendants" together) Motion for Summary Judgment, or in the Alternative, Summary Adjudication ("Motion") is GRANTED in part and DENIED in part. The court notes the hearing on the Motion was continued to permit Plaintiff Souheil Deebes ("Plaintiff") time to conduct additional discovery. Plaintiff was given leave to file a supplemental opposition by 04/01/25. (ROA 188.) Instead of timely filing the supplemental opposition, Plaintiff waited until 04/07/25, without providing any reasoning for the delay. Despite Plaintiff's delay, Defendants were able to file a timely supplemental reply. Although the court in its discretion will consider the supplemental opposition, the Court's ultimate decision would not change if it were disregarded. "(p) For purposes of motions for summary judgment and summary adjudication: . . . (2) A defendant . . . has met his or her burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action. Once the defendant or cross-defendant has met that burden, the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The plaintiff or cross-complainant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto." (Civ. Proc. Code § 437c(p)(2).) "(1) A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (2) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. . ." (Civ. Proc. Code § 437c(f).) "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact